

148. The **MAIN** purpose of the annual information systems (IS) audit plan is to:

- A. allocate resources for audits.
- B. reduce the impact of audit risk.
- C. develop a training plan for auditors.
- D. minimize the audit costs.

A is the correct answer.

Justification:

- A. **Because information systems (IS) audit assignments need to be accomplished with limited time and human resources, audits are scheduled and prioritized as determined by IS audit management.**
- B. Audit risk is inherent to all audits, and the schedule has no bearing on the impact to audit risk.
- C. Developing a training plan for auditors is important, but it is not the main purpose of an IS audit plan.
- D. Minimizing the audit costs could be one of the objectives of an annual IS audit plan. However, this would be a result of ensuring audit resources are used effectively.

149. Which of the following is expected to approve the audit charter?

- A. Chief financial officer
- B. CEO
- C. Audit steering committee
- D. Audit committee

D is the correct answer.

Justification:

- A. The chief financial officer (CFO) does not approve the audit charter but may be responsible for allocating funds in support of the audit charter. The CFO may also be a part of the audit committee or audit steering committee but would not approve the charter alone.
- B. The CEO does not approve the audit charter. The CEO may be informed but is independent of the audit committee.
- C. The steering committee is most likely composed of various members of senior management whose purpose is to work under the framework of the audit charter and does not approve the charter.
- D. **One of the primary functions of the audit committee is to create and approve the audit charter.**

150. Which of the following is the **PRIMARY** purpose of a risk-based audit?

- A. High-impact areas are addressed first.
- B. Audit resources are allocated efficiently.
- C. Material areas are addressed first.
- D. Management concerns are prioritized.

C is the correct answer.

Justification:

- A. High impact does not necessarily indicate high risk. Risk also takes into consideration probability.
- B. Although a risk-based audit approach does address allocation of resources, that is not the primary function of a risk-based audit approach.
- C. **Material risk is audited according to the risk ranking, thus enabling the audit team to concentrate on high-risk areas first.**
- D. Management concerns may not be aligned with high-risk areas.

151. An auditee disagrees with an audit finding. Which of the following is the **BEST** course of action for the information systems (IS) auditor to take?

- A. Discuss the finding with the IS auditor's manager.
- B. Retest the control to confirm the finding.
- C. Elevate the risk associated with the control.
- D. Discuss the finding with the auditee's manager.

A is the correct answer.

Justification:

- A. **Discussing the disagreement with the auditor's manager is the best course of action because other actions can weaken relationships with the auditee and auditor.**
- B. This may unnecessarily expend human and time resources. The audit manager should determine if controls need to be retested.
- C. Elevating the risk does not address the disagreement.
- D. It is usually best to consult the audit manager prior to escalating the issue to the auditee's manager. This could prove to be an adversarial action.

152. The data owners are responsible for:

- A. safeguarding the data by creating regular backups.
- B. security of data throughout their life cycle from origination to destruction.
- C. protecting the data by monitoring them in real time.
- D. performing risk assessment and implementing appropriate controls.

B is the correct answer.

Justification:

- A. The data owners generally do not create the backups but define the requirements for data backup.
- B. **The data owners are primarily responsible for safeguarding the data they own.**
- C. The data owners generally do not monitor the data communication but define the data monitoring requirements for the custodian or other responsible personnel.
- D. The data owners generally do not perform the risk assessment but define the risk management requirements.

153. An information systems (IS) auditor realizes that the skilled resources required to test the specific technical controls are only available for a limited period during an IS audit; therefore, comprehensive testing of all audit areas may not be possible. Which of the following is the **BEST** course of action for the auditor?
- A. Execute the audit focusing on critical areas where skilled resources are used to test controls.
 - B. Have audit management request skilled resources for the entire audit period.
 - C. Refuse to conduct the audit unless skilled resources are available for the entire audit period.
 - D. Extend the timelines of the audit project for training to enhance the skills of the audit team.

A is the correct answer.

Justification:

- A. **In a situation where limited resources are available; an auditor may use the services of skilled resources for high-risk audit areas to ensure that the maximum number of controls in high-risk areas are tested.**
 - B. Auditors may escalate the issue to audit management, but, in the case of unavailable resources, it is best to address high-risk areas first.
 - C. Refusing to conduct an audit may not be a reasonable solution and will cause control failures or weaknesses in high-risk areas to remain undetected.
 - D. It is useful to have the audit team increase their knowledge and skills; however, this option may not be reasonable to auditee management.
154. Which of the following is the **BEST** source of information that the information systems (IS) auditor can use in assessing the process being audited?
- A. Interviews with a sample of employees from the IT department
 - B. Current audit plan
 - C. Past audit reports
 - D. Recent control self-assessment

D is the correct answer.

Justification:

- A. Interviews with some employees will help the information systems (IS) auditor to better understand processes and capture any missing items from the control self-assessment (CSA). However, this is not the best source of information.
- B. The audit plan is created after understanding the business risk within the audit scope. Therefore, it will not help to identify higher-risk processes.
- C. Past audit reports can be another source of information. However, the enterprise could have had changes since that last audit. Therefore, a recently completed control self-assessment will be the best source of information that an IS auditor reviews.
- D. **CSA is made by the staff and management of the unit involved. This assessment can be used by the IS auditor to identify higher-risk processes and then link them to the applications being used.**

155. Which of the following is the **MOST** essential input required for a risk-based audit planning?

- A. Internal controls and procedures description
- B. Action report on previous years' audit findings
- C. Information security policies and procedures
- D. Availability of resources and project timeline

A is the correct answer.

Justification:

- A. **Although all the answers are useful for risk-based audit planning, a description of internal controls and procedures is the most essential input required in planning control testing based on the risk being mitigated. The higher the risk, the more detailed testing required. This will help in determining the priority of the audit areas.**
- B. Repeat findings from previous audit reports may represent higher risk; however, that information is useful in reporting rather than planning.
- C. Security policies and procedures help in determining the security controls to be tested during the security audit planning and may not directly help in risk-based audit planning.
- D. The availability of resources and audit project timelines are required for risk-based audit planning. This information helps provide skilled resources for prioritized audit areas but is not the most essential input required.

156. Which of the following should be the **FIRST** step for the information systems (IS) auditor to take when planning for an audit?

- A. Understand internal controls.
- B. Perform compliance tests.
- C. Gather information and plan.
- D. Perform substantive tests.

C is the correct answer.

Justification:

- A. Understanding internal controls comes after information gathering.
- B. Compliance and substantive tests are performed during the audit.
- C. **The first step in planning an audit is gathering information to understand the business and industry (e.g., prior year audits, recent financial information, inherent risk assessments).**
- D. Compliance and substantive tests are performed during the audit.

157. An information systems (IS) auditor is assigned to review an enterprise's network; however, the auditor is not comfortable with executing a vulnerability assessment. Which of the following would be the **BEST** approach for the auditor?
- A. Request a change of scope to exclude a vulnerability assessment.
 - B. Hire independent experts with consent from the authorities.
 - C. Refuse to conduct the audit due to a competency issue.
 - D. Proceed to conduct vulnerability assessment with limited skills and lack of needed competencies.

B is the correct answer.

Justification:

- A. Reducing scope by excluding the vulnerability assessment will impact the achievement of the audit objectives and is, therefore, not a viable option.
 - B. **Practitioners who do not have the required competencies to perform the audit engagement, either in whole or in part, should seek assistance from independent experts with consent from the authorities who signed the audit charter.**
 - C. Refusing to conduct an audit or requesting to pass it on to another auditor is an option but not as good as hiring an independent expert.
 - D. Conducting a vulnerability assessment without needed skills and competencies is against professional ethics.
158. While auditing database logs for a client, an information systems (IS) auditor needs to verify their redundant backup on the cloud. Which of the following is the **BEST** strategy?
- A. Inform the cloud service provider about the needed verification and obtain cloud logs.
 - B. Ignore the backup on the cloud because it is already a verbatim copy.
 - C. Consider the cloud backup in the next phase of the audit.
 - D. Inform the client about the suggested modification in the original project plan.

D is the correct answer.

Justification:

- A. The cloud service provider needs the client's authentication.
- B. The cloud backup cannot be considered a verbatim copy until verification.
- C. Local and remote logs should be compared simultaneously.
- D. **The audit engagement project plan should be updated and changed as necessary (with appropriate approvals by IT audit and assurance management) during the audit engagement.**

159. While performing the review of the sampled exception transactions report, which of the following is the **MOST** appropriate indicator to move from compliance testing to substantive testing for an information systems (IS) auditor?
- A. Control documentation
 - B. Log analysis
 - C. System requirements specifications
 - D. Data flow diagrams

B is the correct answer.

Justification:

- A. Controls can be well documented, but that does not automatically put them in place.
 - B. Log analysis of posting and approval of exceptional transactions can lead to missing or ineffective controls, which may further require substantive sampling.**
 - C. System requirements specifications record functional and nonfunctional requirements, but also need validation.
 - D. Data flow diagrams are not as effective as log analysis, because they do not necessarily identify and assess all control issues.
160. What is a **KEY** benefit of incorporating data analytics into the audit process?
- A. Identification of patterns and trends in data for risk assessment
 - B. Elimination of the need for audit testing and sampling
 - C. Reduction of audit scope and reliance on internal controls
 - D. Addition of work for auditors to learn data analysis tools

A is the correct answer.

Justification:

- A. Incorporating data analytics into the audit process enables auditors to analyze large volumes of data efficiently and effectively. One of the key benefits of using data analytics is the ability to identify patterns and trends in data, which can provide valuable insights for risk assessment. By analyzing data, auditors can detect anomalies, assess the effectiveness of controls and identify potential areas of risk or noncompliance. Incorporating data analytics into the audit process brings several benefits, but a key benefit is enhanced decision-making.**
- B. Although data analytics can enhance the audit process, it does not eliminate the need for audit testing and sampling.
- C. Data analytics does not directly reduce the audit scope but, instead, helps auditors focus their efforts on areas of higher risk and significance.
- D. Although data analytics can enhance the audit process, it does not replace auditors with the use of automated tools. Using a data analytics tool may require some learning by auditors; however, it may reduce the workload in the long term.

161. An information systems (IS) auditor observes a potential zero-day exposure when performing a vulnerability assessment at a client site. Which of the following is the **BEST** approach that the IS auditor should take?
- A. Annotate the findings and properly document the same in the audit report.
 - B. Immediately consult the client system administrator to alter the firewall rules.
 - C. Immediately consult the client developer to patch the system.
 - D. Immediately discuss the findings with the auditee's management along with evidence.

D is the correct answer.

Justification:

- A. Prior to reporting, the information systems (IS) auditor should consult with the auditee and develop a remediation plan for the zero-day exploit.
 - B. The root cause needs to be identified and the auditee's management must be notified prior to any alternation to the network and systems.
 - C. The root cause needs to be identified and the auditee's management must be notified prior to any alternation to systems.
 - D. **The IS auditor should discuss the findings with auditee's management to gain agreement on the findings and develop an agreed-on course of corrective action.**
162. An enterprise adopted a policy of periodic verification of IT assets through control self-assessment (CSA). Which of the following is the **BEST** approach for an information systems (IS) auditor of the enterprise?
- A. The IS auditor should actively participate in the CSA for asset verification.
 - B. The IS auditor should suggest that the enterprise incentivize the CSA exercise.
 - C. The IS auditor should review the CSA outcome and look for other internal controls in place.
 - D. The IS auditor should recuse from the CSA exercise, citing repetition/redundancy of work.

C is the correct answer.

Justification:

- A. The auditor should act as a facilitator, not an audit participant.
- B. Control self-assessment (CSA) should not be considered an extra activity and should not be linked with monetary benefits for motivation.
- C. **CSA alone may be mistaken as an audit function replacement; therefore, internal controls must exist and the IS auditor must look for them.**
- D. CSA cannot replace the audit function.

163. Which of the following is the **BEST** approach for an information systems (IS) auditor evaluating IT-related controls as a member of an integrated audit team?
- A. Perform IT audits independently and submit findings to the audit manager to include in the final report.
 - B. Prioritize control testing based on the complexity of the technology implemented by the enterprise.
 - C. Include in the audit report the impact to the business due to weaknesses found in IT controls.
 - D. Discuss the findings with the audit manager and afterwards submit the IT audit report to auditee's management.

C is the correct answer.

Justification:

- A. The IT audit may be performed independently; however, describing the business impact will help the audit manager prepare meaningful and comprehensive audit reporting.
 - B. Prioritization of control testing based on the risk to the business is a better approach than just focusing on the complexity of implemented technology.
 - C. **One of the objectives of an integrated audit is to provide added value to the auditee and improve the overall quality of the audit process. Describing the business impact due to weaknesses in IT-related controls best helps the auditee management in relating the deployment of IT with the business.**
 - D. Discussing findings with the audit manager may be appropriate; however, it may not be effective unless the impact has been described in business terms.
164. Which of the following is the **PRIMARY** objective of a quality assurance (QA) and improvement program for an audit process?
- A. To ensure that all audit findings are accepted, addressed and resolved on time
 - B. To provide a basis for evaluating the effectiveness and efficiency of the audit process
 - C. To ensure that auditors are adequately trained, qualified and competent to perform audits
 - D. To establish standard procedures for conducting audits, analyzing evidence and reporting findings

B is the correct answer.

Justification:

- A. Although ensuring that audit findings are addressed and resolved on time is an important aspect of quality assurance (QA), it is not the primary objective.
- B. **A QA and improvement program for an audit process is designed to evaluate the effectiveness and efficiency of the audit process and identify areas for improvement. This can be achieved through various activities, such as conducting internal reviews and assessments, benchmarking against industry standards, and soliciting stakeholder feedback. The primary objective of a QA and improvement program for an audit process is to ensure that the audit activities are conducted consistently, accurately and efficiently. This involves confirming that the audit processes align with professional standards, regulatory requirements, and the enterprise's policies and objectives.**
- C. Ensuring that auditors are adequately trained and qualified is important but not the primary objective of a quality assurance and improvement program.
- D. Establishing standard procedures is important but not the primary objective of a quality assurance and improvement program.

165. Which of the following is the **MOST** important factor in ensuring the success of a new audit quality assurance (QA) program?
- A. Using a systematic approach to develop the program
 - B. Defining clear and measurable objectives and goals
 - C. Ensuring that continuous improvement efforts are embedded in the program
 - D. Obtaining commitment and support from senior management

D is the correct answer.

Justification:

- A. Using a systematic approach is one factor in developing the quality assurance (QA) program, but the most important factor is the commitment of the enterprise's senior management.
- B. Identifying the objective criteria is one factor in developing the quality assurance program, but the most important factor is the commitment of the enterprise's senior management.
- C. Continuous improvement is an important factor in developing the QA program, but the most important factor is the commitment of the enterprise's senior management.
- D. **The success of any QA program depends on the commitment of senior management. Without senior management support, the program is unlikely to be successful. Senior management must provide the resources necessary for the program to succeed and create a culture that supports continuous improvement. The most critical factor in guaranteeing the success of a new audit QA program is the commitment and support from the senior management.**